Esab India Ltd

Concall-Tracker report · Screener ticker ESABINDIA (NSE: ESABINDIA) · subsidiary of ESAB Corporation (USA) · no concall transcripts — global web deep-dive · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Esab India makes **welding consumables and welding equipment** — the electrodes, wires and fluxes that get consumed every time metal is joined, plus the machines that do the joining, and gas-cutting equipment. It sells to shipyards, construction, pipelines, railways, power and general engineering. In plain terms: whenever India builds anything out of steel, some of this company's product is burned up doing it — a consumables business, not a one-off equipment sale.

Figure	Value	Plain-English read
Market capitalisation	**₹9,381 cr** (price ₹6,120)	What the whole company is worth. The share has ranged ₹4,710–7,325 over the past year.
Price-to-earnings / dividend	**45.3×**; yield 1.23%	About 45 times last year's profit — expensive. But note the dividend history: payout has run from 56% to over 100% of profit, because the business needs almost no retained capital.
Q1 FY27 revenue (Jun'26 qtr)	**₹421.1 cr, up 19.6% YoY**	The largest quarter in the company's history, and up 6.5% on the March quarter. A clear acceleration from FY26's 10% full-year growth.
Q1 FY27 operating profit	**₹79.2 cr, margin 18.8%**	Up from ₹59.2 cr and a 16.8% margin a year earlier — a 200 basis-point expansion on top of strong volume.
Q1 FY27 net profit	**₹56.1 cr, up 37.2% YoY**	Earnings per share ₹36.47 for the quarter. Profit grew nearly twice as fast as revenue.
FY26 (full year)	**₹1,508 cr revenue, ₹207 cr profit**	Revenue up 10% and profit up 18%, at an 18% operating margin.
Seven-year revenue path	**₹698 → 681 → 896 → 1,091 → 1,243 → 1,373 → 1,508 cr**	FY20 to FY26 — more than doubled in six years with only the Covid year interrupting. Steady rather than explosive.
Margin transformation	**12–14% (FY20–22) → 18–19% now**	Operating margin has risen by roughly five percentage points and held there for three years — a structural improvement, not a spike.
Return on capital	**ROCE 64.7%; ROE 48.8%**	**The standout figure.** For every ₹100 of capital in the business it earns about ₹65 a year before tax. Very few manufacturers anywhere earn this — it reflects an asset-light, high-turnover consumables model with essentially no debt.
Ongoing tax matter	**₹1.45 cr — immaterial**	Income-tax penalties for AY 2017-18 and 2018-19 under section 270A were upheld by the Commissioner (Appeals) on 20 Aug 2026; the company is appealing further. At ₹1.45 cr against ₹207 cr of annual profit, this is not financially significant.

2. Concall coverage

No concall transcripts were available on Screener for this company — this report is based on a global web deep-dive. Screener lists **no investor-call entries at all**: on the available record, Esab India does not hold earnings calls. For a company of ₹9,381 cr market value earning a 64.7% return on capital, that is a striking omission — there is no management commentary of any kind to read, quote or grade.

Sources used: Q1 FY27 results and published coverage (board meeting 11 August 2026); FY26 and FY25 results; exchange announcements including the renewable-power SPV investment and the income-tax penalty appeal outcome of 20 August 2026; company and parent (ESAB Corporation) material on plants and product range; and Screener.in financial statements.

2b. Latest update highlights — Q1 FY27 (results 11 Aug 2026) ★

- **Growth accelerated sharply:** revenue **₹421.1 cr, up 19.6% year-on-year** and 6.5% sequentially — against just 10% growth for the whole of FY26. Profit rose **37.2% to ₹56.1 cr**, and the shares rose on the result.
- **Margin expanded 200 basis points:** EBITDA of **₹79.2 cr** against ₹59.2 cr, with margin moving from **16.8% to 18.8%**. Profit growing at nearly twice the rate of revenue is the signature of operating leverage in a business with a largely fixed manufacturing base.
- **Both halves of the business contributed** — the result was attributed to execution in **welding consumables** (the recurring, higher-margin half) and **industrial equipment**. This matters because consumables revenue recurs with every welding job, while equipment is lumpier.
- **A small but telling capital-allocation decision:** the board approved an equity investment of just **₹40 lakh for a 26% stake in a special-purpose vehicle** to procure **1 MW of renewable solar power** for the Nagpur (Kalmeshwar) plant. It is a tiny sum — and that is the point: this company reduces its cost base without tying up capital, which is why it can return most of its profit to shareholders.
- **An immaterial legal item, disclosed:** the Commissioner of Income Tax (Appeals) dismissed the company's appeals against penalties for assessment years 2017-18 and 2018-19 on 20 August 2026, with a total financial implication of **₹1.45 cr**. The company intends to appeal further. Against ₹207 cr of annual profit this is negligible, but it was disclosed promptly.

2c. Business mix & capacity (quick facts)

Domestic vs export: predominantly **domestic** — Esab India serves Indian shipbuilding, construction, pipelines, railways, power and general engineering. Some export happens within the parent's global network, but no split is disclosed and none is invented here. Practically, this is a leveraged play on Indian steel fabrication activity.

Product mix: two segments — **welding consumables** (electrodes, wires, fluxes) and **equipment** (welding and cutting machines). Consumables are the structurally attractive half: they are burned up in use, so revenue recurs with activity rather than depending on new machine sales, and they carry better margins. Both were cited as contributing to the Q1 FY27 result.

Capacity utilisation: not disclosed, and none is invented here. Three manufacturing sites — **Ambattur** and **Irungattukottai** near Chennai, and **Kalmeshwar** near Nagpur. What the financials reveal indirectly is more useful than a utilisation number: revenue has more than doubled in six years while the company continues to pay out 56% to over 100% of profit as dividends and carries essentially no debt. A business that can double revenue without retaining earnings is not capacity-constrained in any expensive way — which is precisely why return on capital is 64.7%. The 1 MW solar arrangement at Nagpur, structured as a 26% stake in a ₹40 lakh special-purpose vehicle, is characteristic: cut costs, commit almost no capital.

3. Earning Trigger thesis ★

Esab India is less a company with a single dated catalyst than **a high-quality consumables franchise geared to Indian steel fabrication** — and the trigger is that the gearing is now working harder. Revenue has more than doubled from ₹698 cr in FY20 to ₹1,508 cr in FY26, and after a 10% year in FY26 growth **accelerated to 19.6% in Q1 FY27** with margin expanding 200 basis points to 18.8% and profit up 37.2%. Two things make this durable rather than cyclical noise. First, the **consumables model**: electrodes, wires and fluxes are consumed on every welding job, so revenue recurs with construction and manufacturing activity rather than depending on capital-equipment orders. Second, the **economics are exceptional and structural** — a 64.7% return on capital, essentially no debt, and a dividend payout that has ranged from 56% to over 100% of profit, meaning the business has doubled in size while returning almost everything it earns. Operating margin has moved from 12–14% to a settled 18–19% and stayed there for three years. The demand backdrop — Indian infrastructure, shipbuilding, pipelines and railways — supports continuation. The clear limitation is that at 45 times earnings for a business that grew 10% last year, the price already assumes the acceleration persists; and with no earnings call, there is no management guidance to tell you whether it will.

Trigger	What the record shows	Evidence so far	Horizon	Strength
Consumables franchise geared to Indian fabrication	Electrodes, wires and fluxes consumed on every welding job	Revenue ₹698 cr (FY20) → ₹1,508 cr (FY26); Q1 FY27 accelerated to +19.6%	Multi-year	Strong
Margin expansion, sustained	—	Operating margin 12–14% (FY20–22) → **18–19% held for three years**, and 18.8% in Q1 FY27 versus 16.8% a year earlier	Achieved	Strong
Exceptional capital efficiency	—	**ROCE 64.7%, ROE 48.8%**, essentially no debt, dividend payout 56% to over 100% — growth requires almost no retained capital	Structural	Strong
Both segments firing	Result attributed to welding consumables *and* industrial equipment	Reduces reliance on lumpy equipment orders; consumables recur with activity	Ongoing	Strong
Cost reduction without capital	26% stake in an SPV costing ₹40 lakh to secure 1 MW of solar for Nagpur	Characteristic capital discipline — a permanent cost saving for a negligible outlay	FY27	Moderate
Parent-group backing	Subsidiary of ESAB Corporation (USA), a global fabrication-technology leader	Access to global product technology and standards — a real advantage over local competitors	Structural	Moderate
Growth was slowing before this quarter (caveat)	—	FY26 revenue grew only **10%**. One accelerated quarter does not establish a new rate, and there is no guidance to confirm it	Now	Watch
Valuation (risk)	—	45× earnings for a business that grew 10% in FY26. Excellent quality is not in question; the price paid for it is	Now	Key risk

4. Management Consistency scorecard

Read this as **almost entirely ungradeable**. Screener lists no investor calls for this company, so there is no guidance, outlook or management commentary on the record against which outcomes can be checked. This grades filings and reported numbers only.

Period	What was signalled	What actually happened	Verdict
FY20 → FY26	—	Revenue ₹698 cr → ₹1,508 cr and profit ₹71 cr → ₹207 cr, with only the Covid year interrupting. Margin 12–14% → 18%	**Delivered**
FY23 → FY26	—	Operating margin held at **17–18% for four consecutive years** — consistency rather than a one-off spike	**Delivered**
Throughout	—	Dividend payout maintained between **56% and over 100%** of profit while the business doubled — capital returned rather than hoarded	**Delivered**
Q1 FY27	—	Revenue +19.6% and profit +37.2%, with margin up 200bps — a marked acceleration on FY26's 10%	**Delivered**
Q1 FY27	—	Board committed just ₹40 lakh for a 26% SPV stake securing 1 MW of solar — a cost saving achieved with negligible capital, consistent with the company's long-standing discipline	**Disciplined**
Aug 2026	—	Income-tax penalty appeals for AY 2017-18 and 2018-19 dismissed by the Commissioner (Appeals); ₹1.45 cr implication, further appeal intended — **disclosed promptly** despite being immaterial	**Disclosed**
FY26	—	Revenue growth slowed to 10%, the weakest in four years, with **no public explanation available**	**Unexplained**
Throughout	—	**No earnings calls held at all.** No guidance, no outlook, no segment commentary, no forum in which any of the above can be questioned	**Total disclosure gap**

Narrative drift: There is no narrative to drift, and that is the entire finding on consistency. Esab India publishes results and complies with disclosure requirements — the tax-penalty outcome, immaterial at ₹1.45 cr, was filed promptly — but it holds no earnings calls, issues no guidance and offers no management commentary that an outsider can hold it to. What the numbers show is a company behaving with remarkable steadiness: revenue more than doubled over six years, operating margin lifted from 12–14% to a settled 18% and then held there for four consecutive years, essentially no debt carried, and between 56% and over 100% of profit returned to shareholders throughout. The ₹40 lakh solar arrangement is a small illustration of the same discipline — secure a permanent cost reduction while committing almost no capital. Behaviour of that consistency, sustained over seven years, is itself a form of reliability and deserves weight. But two questions cannot be answered from outside. Why did FY26 growth slow to 10%, the weakest in four years? And is the 19.6% growth of Q1 FY27 a genuine re-acceleration or a single strong quarter? At a company that held calls, both would be asked and answered. Here they cannot be.

5. Bottom line — two verdicts

Durable earning trigger? → YES

This is a genuinely high-quality franchise whose economics are the trigger. Welding consumables are burned up on every job, so revenue recurs with Indian construction, shipbuilding, pipeline and railway activity rather than depending on lumpy equipment orders — and that recurring base has more than doubled from ₹698 cr in FY20 to ₹1,508 cr in FY26. Two structural improvements sit on top. Operating margin rose from 12–14% to 18–19% and has now held there for four straight years, so it is a re-rating of the business rather than a good patch. And capital efficiency is extraordinary: a 64.7% return on capital and 48.8% return on equity, with essentially no debt and a dividend payout that has run from 56% to over 100% of profit — meaning the company doubled in size while returning nearly everything it earned. Q1 FY27 shows the operating leverage working hard, with revenue up 19.6%, margin up 200 basis points and profit up 37.2%. Two honest qualifications. FY26 grew only 10%, so one accelerated quarter does not by itself establish a new rate, and with no earnings call there is no guidance to confirm it. And at 45 times earnings, the quality is fully recognised in the price — the business could keep performing well and the shares still disappoint.

Management consistent? → MAYBE

This sits at Maybe for an unusual reason: the behaviour is excellent but there is nothing to hold anyone to. Judged on what the accounts show, few companies in this coverage look steadier — revenue more than doubled over six years, operating margin lifted five percentage points and then held at 18% for four consecutive years, debt kept at essentially nil, and between 56% and over 100% of profit paid out to shareholders year after year while the business still grew. The ₹40 lakh commitment for a 26% stake in a solar special-purpose vehicle is a small but characteristic example of the discipline: a permanent cost reduction secured without tying up capital. The tax-penalty outcome, though immaterial at ₹1.45 cr, was disclosed promptly. But this verdict measures promised against delivered, and **Esab India holds no earnings calls at all** — no guidance, no outlook, no segment commentary, no venue in which anything can be asked. So when FY26 revenue growth slowed to 10%, the weakest in four years, no explanation exists; and when Q1 FY27 jumped to 19.6%, there is no management view on whether that is sustainable. For a ₹9,381 cr company earning a 64.7% return on capital, that silence is a choice. Consistent conduct, unverifiable intent.

Prepared from public sources on 31 Aug 2026. Screener lists **no investor-call entries whatsoever** for this company, so this is a global web deep-dive: Q1 FY27 results (board meeting 11 Aug 2026) and coverage, FY26 and FY25 results, exchange announcements including the renewable-power SPV investment and the income-tax penalty appeal outcome of 20 Aug 2026, company and ESAB Corporation material on plants and products, and Screener.in financial statements. No management wording is quoted verbatim because none is publicly available. **This is not investment advice. Do your own due diligence.**